

TAXCASE REVIEW

IRS RESOLUTION INTELLIGENCE

FREE GUIDE

The IRS Collection Timeline

What happens after a notice arrives —
and the exact window to act at each stage.

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Licensed Enrolled Agent | 15 Years IRS Tax Resolution Experience

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The IRS Collection Sequence

The IRS does not jump straight to seizing your bank account. It follows a legal notice sequence first — and almost every step gives you a chance to stop what happens next. Most people never learn this sequence until they are already three or four notices deep.

Notice	Name	Timing	What It Means
CP14	Balance Due	Day 0	First formal notice. 60 days to respond.
CP501	Reminder	~30 days later	Second reminder. Collection escalating.
CP503	Second Reminder	~30 days later	IRS is tracking your non-response.
CP504	Intent to Levy	~30 days later	Legal levy authority granted. Asset seizure is now imminent.
LT11	Final Notice	~30 days later	30-day CDP window starts here. Miss this and you lose CDP rights.
Levy	Bank/Wage Levy	30 days after LT11	IRS seizes funds directly from your bank or paycheck.

The key rule: Responding to any notice resets the urgency clock. Silence accelerates everything toward levy.

The Most Dangerous Mistake

Ignoring CP504 or LT11 is the single most costly mistake taxpayers make. Once LT11 is issued, you have a hard 30-day window to request a Collection Due Process (CDP) hearing using Form 12153. Miss that window and the IRS gains full levy authority with no additional warning required.

If You Already Got a Levy Notice

Banks are required to hold levied funds for 21 days before sending them to the IRS. That 21-day window is your chance to act — request a Collection Due Process hearing or pursue an economic hardship determination, which can release funds in as little as 4 to 24 hours. Once the 21 days expire, the money is gone and cannot be recovered.

What To Do at Each Stage

CP14 / CP501

Verify the amount is correct. Call to confirm the assessed balance matches your records before doing anything else.

CP503

This is your window to set up a streamlined installment agreement — no financial disclosure required under \$50,000.

CP504

Stop here. This is the last quiet stage. Call immediately to discuss installment agreement, Offer in Compromise, or Currently Not Collectible status.

LT11

File Form 12153 for a CDP hearing within 30 days. This immediately halts all levy action while the hearing is pending.

Active Levy

Request economic hardship determination. If you have an LT11 on file, a CDP hearing can stop the levy even after it starts.

Don't Navigate This Alone

Free 15-minute case review with Romy Cruz, EA — Licensed Enrolled Agent, 15 years of IRS tax resolution experience. We'll walk through your exact situation and tell you which options apply.

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Tax situations vary significantly. This guide is for informational purposes and does not constitute legal or tax advice.